Energy and Environment Outlook

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Chinese oil demand has peaked. Even after the Iran war ends, weak activity, electrification, and Beijing’s energy security push will cap consumption a

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Chinese oil demand has peaked

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China’s oil demand won’t rebound after the Iran war
By Herbert Crowther, Dan Wang

An end to the Iran war will not restore Chinese oil demand to its pre-war trajectory. Weak domestic activity and rapid electrification will cap domestic middle distillate demand, while Beijing’s growing emphasis on energy security will create a structural ceiling on oil consumption. Chinese planners will replace and expand crude and product stockpiles as Iran-related price disruptions recede, but underlying domestic demand will not exceed pre-Iran levels.

Outlook:

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Since April, Beijing has centralized crude inventory management and extended the mandatory windows within which refiners must replenish their required stockpiles from one-to-two months to three-to-five months, giving the companies more time to avoid buying at high spot prices.
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Companies have drawn from their own inventories, while the government-held Strategic Petroleum Reserve—equivalent to 120 days of crude imports—remains untouched. Eurasia Group industry contacts expect state oil companies to add 400,000 barrels per day to their reserves between November and April.
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China’s refined-product export controls will remain an ongoing risk while Iran disruptions persist. Beijing relaxed export restrictions in July but required state-owned oil companies to maintain gasoline and diesel inventories at pre-war levels to qualify for export quotas. The National Development and Reform Commission often waits until the last minute to confirm allocations, with export approvals for refined

products motivated more by domestic concerns than any geopolitical opportunities.

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China’s peak demand will hasten a global plateau in consumption. The country has been by far the largest driver of new oil demand growth in recent decades, and other growth markets such as South and Southeast Asia can’t fully replace it, especially as Beijing increasingly exports its energy transition.

EU Methane Regulation will likely face a one-year delay

By Conor Frydenborg, Henning Gloystein

The European Commission is likely to postpone methane requirements for trading partners under the EU Methane Regulation for oil, gas, and coal to ensure that methane monitoring, reporting, and verification standards align with EU rules. On 6 October, EU Energy Commissioner Dan Jorgensen said the January 2027 deadline could move to January 2028, though he insisted that any extension would stop there. Eurasia Group contacts indicate that a joint request from major EU member states, driven by the current energy price squeeze, prompted the commission leadership’s policy shift to intervene (see: Energy, Climate & Resources: European gas prices will stay elevated through winter , 22 September 2026). No amendment has been passed yet. The regulation separately introduces methane intensity reporting in August 2028 and methane intensity limits from 2030.

Outlook:

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A one-year postponement is the most likely outcome. France supports that approach, while Italy, Czechia, and industry groups have pushed for a three-year delay. The commission will try to preserve the regulation’s core structure while giving importers more time to prepare. However, any deadline change will require approval from the European Council and European Parliament. Negotiations over which provisions to delay, especially whether the August 2028 methane intensity reporting deadline also moves, could complicate passage. A longer postponement remains possible if energy supply pressures intensify.

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The reprieve will reduce near-term compliance risks but will not solve implementation problems. Suppliers face difficulties collecting and verifying emissions data across complex upstream supply chains, while importers still lack clarity on compliance requirements and penalties. Industry representatives warn that uncertainty could redirect LNG cargoes to less-regulated markets, especially during the upcoming winter months, although evidence of actual diversion remains limited. An extra year would give the US and other exporters more time to build compliant reporting systems, but additional requests for flexibility will likely emerge as the revised deadline approaches.

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Broader deregulation is unlikely. Brussels still sees methane reduction as a climate priority, and most requirements for domestic producers already apply. However, the 7 October announcement by President Donald Trump’s administration that it intends to rescind the US Methane Super Emitter program highlights growing transatlantic regulatory divergence. That shift could make compliance more challenging for US LNG exporters and increase reliance on independent verification. Repeated delays would further weaken the EU’s credibility as an international standard-setter.

Bolsonaro’s election could trigger a reversal in environmental policy

By Conor Frydenborg, Marcelo Alvarenga

After Senator Flavio Bolsonaro’s strong showing in Brazil’s 4 October first-round presidential election, Eurasia Group now places the odds of his winning the presidency at 80% (see: Brazil: Lula will struggle to overturn Bolsonaro's runoff lead , 9 October 2026). Bolsonaro’s right-wing Liberal Party also posted strong gains in Congress. His likely agenda would include weaker protections for the Amazon, a more permissive regulatory environment for resource extraction, and a marked shift in Brazil’s stance at international climate meetings.

Outlook:

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Environmental protections will come under greater pressure regardless of who wins the presidency. A more conservative congress will have greater latitude to weaken environmental licensing rules and expand agricultural and mining activity. At the same time, a less active Supreme Court will soften its usual defense of environmental and indigenous safeguards. This scenario will limit Brazil’s environmental and climate policy upside even in the event of a new Luiz Inacio Lula da Silva government.

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Bolsonaro has pledged to end illegal deforestation by 2029 and strengthen carbon markets, which he views as a way to capitalize on Brazil’s comparative advantage in natural capital. Still, his administration would likely roll back environmental protections by reducing regulatory burdens and potentially opening indigenous lands to development.

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Oil and gas investment will remain a priority under either administration. Lula has continued to support offshore exploration despite environmental opposition. Bolsonaro backs further upstream extraction and has pledged to reconsider Lula’s 12% crude oil export tax. However, the taxation phase-out will be difficult, as the revenue it generates supports a fuel subsidy for consumers amid rising oil prices. If elected, Bolsonaro will pursue more commercially oriented fuel pricing, place greater emphasis on shareholder returns, and resume asset divestments at Petrobras. However, the campaign has ruled out privatizing the company. Those changes would probably improve investment conditions, but the record of political intervention at Petrobras under Flavios’ father, former president Jair Bolsonaro, suggests that greater commercial independence is not guaranteed.

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Brazil’s international climate ambitions would weaken under Bolsonaro. A climate skeptic, he would be likely to largely abandon the climate leadership role Brazil inherited as host of COP30. He would frame Brazil’s approach to international climate policy around economic competitiveness and pursue closer ties with Washington. Still, Bolsonaro’s support for carbon markets and limited conservation incentives suggests a selective retreat rather than a wholesale withdrawal from climate policy.

US rare-earth element consumers face continued limits and uncertainty
By Timothy Puko, Herbert Crowther, Noah Daponte-Smith

US end-users of rare-earth products are reporting improvements but persistent delays in getting supplies from China. Recent customs data suggest Beijing is keeping US magnet buyers on a tight leash (see: Truce extension shortened to press Beijing on magnets , 24 September 2026). Reported delays are most common for samarium-cobalt magnets, gallium, and yttrium. Defense companies are among the biggest buyers, especially for samarium. Those delays are averaging four to six months, and documentation to China’s Ministry of Commerce (MOFCOM) is a major bottleneck, requiring detailed information about buyers’ supply chains.

Outlook:

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The Trump summit with President Xi Jinping does little to change these dynamics. The two sides announced a two-month extension of the existing trade truce, which allows these sales to continue into January. Eurasia Group expects a further extension, maintaining the status quo after January. Both sides are prioritizing the strategic goal of stability with minimal trade deliverables (see: Trump-Xi summit shores up managed stability , 1 October 2026).

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Illustrating the limited progress, US Ambassador to China David Perdue publicly accused China in the days after the summit of weaponizing rare-earths supply “even further ... where they make any diversification effort away from China a criminal offense.”

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China has also been working to secure and diversify its supplies globally, in rare earths and other minerals, a quest with broad reach. China’s Defense Ministry announced it began new operations on 29 September at an airbase in Laos. Less than two months prior, two Chinese companies had announced their rare-earth joint venture in Laos was suspended. Through military cooperation, China may be trying to preserve its relationship with Laos and eventually restart rare-earth operations there before rivals like Japan can step in.

EU car emissions rules are likely to face further weakening
By Conor Frydenborg, Federico Santi

France and Germany are reportedly close to a compromise that would further weaken the EU’s 2035 automotive emissions rules. French President Emmanuel Macron is reportedly willing to back German Chancellor Friedrich Merz’s proposal to lower the required cut in new-car CO2 emissions to 80% from 2021 levels, without requiring automakers to offset the additional ten percentage points. In return, Macron would seek German support for stricter “Made in Europe” industrial policies. The European Commission had already proposed easing the current 100% target to 90% in December 2025, with automakers allowed to offset remaining emissions through renewable fuels and low-carbon steel (see: Energy, Climate & Resources: EU autos to win flexibility with likely change to 2035 target , 3 November 2025). It remains unclear whether those offset provisions would still apply under an 80% target. However, France and Germany have not reached a formal agreement, and negotiations over EU-content requirements remain unresolved.

Outlook:

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Further weakening is now more likely than not. Eurasia Group assesses that there is a 75% probability that final legislation dilutes the commission’s proposed 90% target. French support would undermine the blocking minority that had previously opposed further concessions in the European Council. A parliamentary majority is also achievable through cooperation between the center-right and right-wing groups, although support for an 80% target is not guaranteed. The principal uncertainty is whether Paris and Berlin can finalize their broader bargain.

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Negotiations over “Made in Europe” requirements will determine the eventual compromise. France is seeking tighter EU-content requirements under the Industrial Accelerator Act, while Germany has favored broader eligibility for manufacturing in trading partners. Disagreements over whether third

countries such as the UK and Turkey should qualify remain unresolved. Greater German support for somewhat stricter EU preference requirements could facilitate agreement on automotive emissions, while strengthening incentives for manufacturers to localize production. However, stricter requirements could increase costs for EU automakers with internationally integrated supply chains. Germany is unlikely to sign up to maximalist French demands to exclude non-EU trading partners entirely.

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Greater flexibility will slow, but not reverse, a decisive trend toward fleet electrification. A weaker target would allow manufacturers to continue selling a larger share of combustion-engine vehicles and hybrids after 2035, easing near-term compliance pressures. The proposed extension of the 2030 compliance window from three to five years would provide additional flexibility. However, these changes would weaken incentives for EV and battery investment and complicate the EU's long-term decarbonization objectives as well as European automakers' ability to compete with Chinese rivals in these segments, both in Europe and other markets. Competition from Chinese manufacturers and continuing improvements in EV affordability should nevertheless sustain electrification.

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